having gone by, not a single such non-core company, which is relatively easier to sell than land and buildings, has been sold.

A major element of the revival package is that these two companies will create a 4G network and acquire new customers. 4G networks were built by private-sector companies quite some time ago. These are deeply entrenched and much more efficient than anything BSNL–MTNL could ever build. It would take some time for the BSNL–MTNL 4G network to come alive, and may never even happen. Even if it does, the chances of BSNL–MTNL acquiring the customers of the three existing private-sector players are next to nothing.

5G Spectrum Auction Keeps Getting Delayed

After a gap of nearly five years, the Government of India put a total of 2308 megahertz (MHz) of spectrum on sale in an auction that took place in March 2021, which, at reserve prices, was valued at Rs 3.92 lakh crore. Only three telecom companies—Jio, Bharti and Vi (Vodafone–Idea after its rebrand)—participated in the auction and purchased a total of 855.66 MHz of spectrum, which will fetch the government Rs 77,815 crore, with about Rs 27,600 crore paid upfront and the rest spread over sixteen equated instalments.

The frequency bands in which the spectrum was bought—800, 900, 1800, 2100 and 2300 MHz—were essentially for the purpose of renewing the expiring spectrum licence, not for rolling out 5G services.

There was no bidder for the 700 MHz band, which is considered to be quite efficient, as the reserve price for the same was perceived to be very high. The government realized only 20 per cent of the reserve price of the spectrum put on sale. The auction proved very clearly that there is no interest in international players any longer to come and set up telecom and data services in India and that the reserve prices the government is demanding are atrociously high.